1990–91) vitiated the situation, too. Finally, by the end of 1980s India was in the grip of a severe balance of payment crisis with higher rate of inflation (over 13 per cent) and higher fiscal deficit (over 8 per cent).[22] The deep crisis put the economy in a financial crunch which made India opt for a new way of economic management in the coming times.

New Industrial Policy, 1991

India was faced with a severe balance of payment crisis in June 1991. Basically, in 1990 and 1991, there were several inter-connected events which were growing unfavourable for the Indian economy.

(i) Due to the Gulf War (1990–91), the higher oil prices were fastly[23] depleting India's foreign reserves.

(ii) Sharp decline in the private remittances from the overseas Indian workers in the wake of the Gulf War[24], specially from the Gulf region.

(iii) Inflation peaking at nearly 17 per cent.[25]

(iv) The gross fiscal deficit of the central government reaching 8.4 per cent of the GDP.[26]

(v) By the month of June 1991, India's foreign exchange had declined to just ***two weeks*** of import coverage.[27]

India's near miss with a serious balance of payments crisis was the proximate cause that started India's market liberalisation measures in 1991 followed by a gradualist approach[28]. As the reforms were induced by the crisis of the BoP, the initial phase focussed on macroeconomic stabilisation while tfhe reforms of industrial policy, trade and exchange rate policies, foreign investment policy, financial and tax reforms as well as public sector reforms did also follow soon.

The financial support India recieved from the IMF to fight out the BoP crisis of 1990–91 were having a tag of conditions to be fulfilled by India. These IMF conditionalities required the Indian economy to go for a structural re-adjustment. As the nature and scope of economy were moulded by the various industrial policies India did follow till date, any desired change in the economic structure had to be induced with the help of another